

Trade Isolation and the Independence Debt:
How Diplomatic Exclusion Created a System of
Financial Colonialism in Post-Revolution Haiti
(1804–1900)

Seminar Paper

at the

**Faculty of Business, Economic and Social Sciences
of the University of Bern**

by

Prof. Dr. Eric Strobl

Author:	David Nhan
Field of study:	Economics
Matriculation no.:	18-928-630
Postal address:	Rosenweg 9 3252 Worben
Email:	david.nhan@students.unibe.ch
Submission date:	04.01.2026

Contents

1	Introduction	4
2	The Colonial Economy of Saint-Domingue: Institutions, Labor Systems, and Export Structure (before 1791)	7
3	The 1825 Indemnity and the Formation of Financial Colonialism	10
4	Economic Consequences: Export Decline, Fiscal Constraints, and Long-Term Underdevelopment (1825–1900)	13
5	Conclusion	17

Abstract

This report examines how diplomatic trade isolation and the 1825 independence debt shaped Haiti's economic future after the Haitian Revolution (1804–1900). The analysis focuses on the link between Haiti's exclusion from international markets and the emergence of a debt regime that functioned as a form of financial colonialism. I argue that the combination of restricted market access and debt obligations, prevented export recovery and locked Haiti into a persistent underdevelopment trap.

The research question is: How did trade isolation and the indemnity debt shape Haiti's post-revolution economic development? Taking on historical economic literature, some fiscal data, and institutional accounts, the report shows that the indemnity was not an isolated event but the outcome of an international strategy that limited Haiti's sovereignty through economic rather than territorial means.

1 Introduction

The Haitian Revolution (1791–1804) was the most consequential slave uprising in the modern Atlantic world. It was once the wealthiest plantation colony of the eighteenth century and created the first Black republic in history. Understanding the Revolution’s origins, dynamics, and consequences is essential for analyzing Haiti’s post-independence economic trajectory, including the mechanisms of trade isolation and the 1825 indemnity examined later in this report. This section provides a historical and institutional background to situate the economic analysis that follows.

Before 1791, Saint-Domingue (modern day Haiti) was France’s most valuable colony and the largest producer of sugar and coffee in the world. Its plantation economy relied on an extreme form of racial hierarchy and labor exploitation: A high percentage of the population consisted of enslaved Africans working under one of the harshest labor regimes in the Atlantic system. As Knight (2000) notes, Saint-Domingue generated extraordinary wealth for France, supplying close to 40 percent of Europe’s sugar and more than half of its coffee imports. The economic structure of the colony was therefore both highly productive and deeply fragile, as it depended on coercion, demographic imbalance, and violent control (Knight 2000) .

The Revolution began in August 1791 with a massive uprising of enslaved workers in the northern province. The revolt was enormous: tens of thousands of enslaved people burned plantations, destroyed mills, and broke up the labor institutions that supported the colonial economy. The rebellion did not emerge in isolation. It was shaped by broader political developments, including the French Revolution and the spread of republican ideals, as well as long-standing tensions within the colony’s free population of mixed descent (Blackburn 2006) . What made Haiti exceptional was the capacity of enslaved people to transform these tensions into a sustained political and military struggle that directly challenged the Atlantic slave system.

Between 1791 and 1793, revolutionary factions, planter militias, and French

commissioners battled for control of the colony. In 1793, facing military pressure from both internal revolt and foreign invasion, the French administration abolished slavery in Saint-Domingue. The French Convention extended abolition to all French colonies in 1794, a turning point that transformed the rebellion into an international conflict. Blackburn (2006) shows that abolition dramatically shifted the strategic landscape: formerly enslaved military leaders, including Toussaint Louverture, became central actors in the French effort to maintain control of the colony.

Under Louverture's leadership, the emancipated population defeated foreign armies from Spain and Britain and gradually reestablished agricultural production under a system of "forced plantation labor". This meant, that labor is still not voluntarily but tied to some form of wage. This period, although marked by tensions and coercion, represented the most successful attempt to restore the colony's economic capacity during the revolutionary era (Lacerte 1978) . Louverture's regime aimed to keep the plantation economy functioning in modified form, recognizing that export revenues were essential for any future state.

However, the rise of Napoleon Bonaparte and France's attempt to reimpose slavery triggered a second phase of the Revolution. In 1802, Napoleon sent a large expeditionary force to retake the colony and restore plantation slavery. The campaign initially succeeded in capturing Louverture but collapsed due to fierce resistance, internal desertions, and the impact of yellow fever on French troops. By late 1803, insurgent forces led by Jean-Jacques Dessalines defeated the French army.

On January 1, 1804, Dessalines declared the independence of Haiti. This marked the only successful slave revolution in world history and a direct challenge to the economic foundations of the Atlantic plantation complex. As Knight (2000) emphasizes, the creation of Haiti not only abolished slavery but also undermined the ideological and economic legitimacy of slavery across the Atlantic world. It represented a fundamental rearrangement of property rights: enslaved people transformed themselves from property into citizens, and plan-

tation land previously owned by French settlers became the core resource of the new state.

Independence fundamentally transformed Haiti's internal economic and social structures. The new government faced immediate challenges: restoring agricultural production, maintaining territorial control, and establishing institutions of governance after a decade of war. The physical destruction of plantations, mills, and infrastructure during the Revolution significantly reduced productive capacity (Lacerte 1978). Moreover, the population—predominantly rural and formerly enslaved, resisted attempts to reimpose plantation-style labor. Many sought autonomy over land rather than participation in large-scale export agriculture.

The geopolitical consequences of independence were immediate and severe. As Blackburn (2006) writes, major powers viewed Haiti's existence as a threat to their own slave systems. France, Britain, Spain, and the United States therefor refused to recognize the new state. Diplomatic non-recognition translated into economic exclusion: Haitian ships did not get legal access to foreign ports, trade agreements were denied, and Haiti was cut off from international credit markets. This isolation during the early years of independence significantly weakened state capacity and constrained the economy's ability to recover.

By 1804, Haiti had liberated itself militarily but remained economically vulnerable. The destruction of its export infrastructure, combined with diplomatic isolation, left Haiti without stable revenue sources and without access to the international financial system. These structural constraints provided the conditions for imposing of the 1825 indemnity debt and for the subsequent emergence of financial colonialism, which is analyzed in detail in a later section of this report.

2 The Colonial Economy of Saint-Domingue: Institutions, Labor Systems, and Export Structure (before 1791)

Before the Haitian Revolution, its economic structure was defined by three core institutional features: a coercive labor system, a land and property regime organized around plantation capital, and an export model integrated into French commercial networks. These features made the colony central to global commodity markets.

Saint-Domingue's export sector was built on large-scale sugar and coffee plantations that operated under a enslaved labor regime. Knight (2000) shows, that enslaved workers constituted the overwhelming majority of the population, while free people, both white colonists and the free people of color, controlled land, capital, and political authority. The plantation system relied on imported African labor and was characterized by extreme demographic imbalance. This structure produced high levels of output but also required continuous coercion to maintain production (Knight 2000) .

The colony's economic performance was good. Blackburn (2006) notes that by the late eighteenth century, Saint-Domingue produced a large share of the sugar and coffee consumed in Europe, making it one of the most profitable colonies in the world. Sugar and coffee were capital-intensive crops requiring mills, processing equipment, livestock power, and a hierarchical labor force. This created high fixed costs but also high returns for plantation owners, who benefited from France's mercantilist trade regulations that mandated the export of colonial goods through French ports (Blackburn 2006) .

The property rights regime reinforced the plantation model. Land was concentrated in large estates that combined agricultural production with processing infrastructure. Rights over land and labor were linked through legal institutions that defined enslaved workers as movable property. This allowed plantation owners to use enslaved people as collateral in credit transactions,

creating a form of capital accumulation tied directly to slavery. The institutional framework therefore supported scale, investment, and integration into Atlantic markets.

Export data illustrates the scale of the economy. Lacerte (1978) writes again that the colony produced high quantities of sugar and coffee before 1791 and dominated French re-export trading systems. These exports provided tax revenue to the French state, sustained merchant networks in ports such as Nantes and Bordeaux, and established Saint-Domingue as a central node in the Atlantic commercial system. The high export productivity was not primarily due to technological sophistication but to the extensive exploitation of enslaved labor and the availability of plantation capital (Lacerte 1978) .

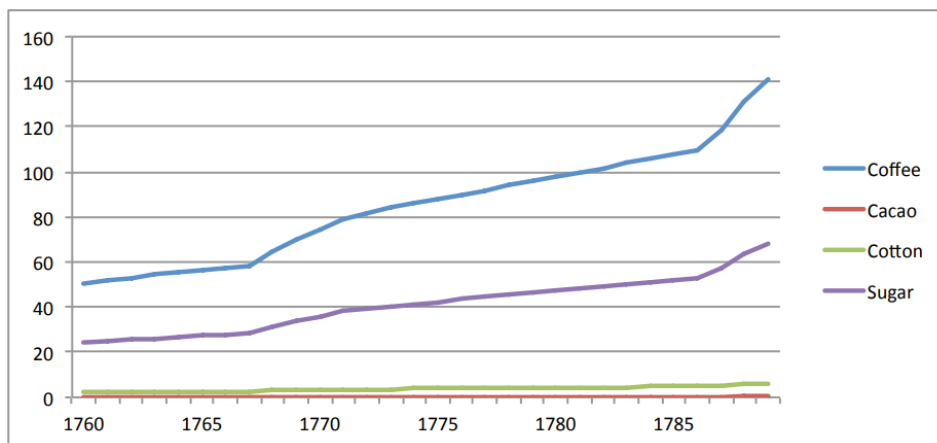


Figure 1: Volume of exports from Saint-Domingue before the revolution (1760–1789), in millions of pounds.

The plantation sector also created a set of supporting institutions. Credit markets developed around plantation mortgages and commodity advances, while trade flows linked the colony to insurers, shippers, and financiers in France. The administrative system was designed to maintain order, secure property rights for planters, and ease the extraction of export revenue. Rönnbäck (2021) shows that plantation economies generated significant value-added for European merchants, insurers, refiners, and shipping firms, indicating that Saint-Domingue was embedded in a broader value chain that extended far beyond the island itself (Rönnbäck 2021) .

Labor conditions were central to the colony's productivity. McKey (2016) emphasizes that enslaved workers performed agricultural, industrial, and logistical tasks under highly structured work routines that maximized output. The plantation model functioned because of tight supervision, high labor coercion, and limited worker mobility. This system produced exports at levels that few other colonies could match, but it also created dependence on forced labor and left the economy vulnerable to disruption (McKey 2016) .

This institutional and economic framework is essential for understanding the impact of the Haitian Revolution and the constraints faced by the post-independence state. The colony's export success depended on a labor system that could not survive emancipation, a capital structure that required continuous external investment, and trade networks that ran through French commercial institutions. When the Revolution dismantled slavery, destroyed plantations, and severed ties with France, the economic model that had sustained Saint-Domingue ceased to function. The new Haitian state inherited land but lost access to credit, labor control, and established trade networks.

The destruction of the colonial economy therefore created two long-term challenges. First, Haiti had to develop a new economic structure without the institutional foundations of the plantation system. Second, the state had to do so while facing international hostility, diplomatic non-recognition, and exclusion from the markets that had previously absorbed its exports.

The pre-revolution economy provides the baseline for the analysis that follows. It shows the extent of Haiti's integration into global trade, the scale of its export industry, and the institutional arrangements that supported production. This baseline also shows why the shocks of isolation and debt had large and persistent effects: they struck an economy that had lost its labor system, its export infrastructure, and its access to the networks that once made it prosperous.

3 The 1825 Indemnity and the Formation of Financial Colonialism

The political independence of 1804 did not end external constraints on Haiti's economy. Diplomatic isolation reduced the state's access to markets, credit, and formal recognition, and these conditions shaped the circumstances under which the 1825 indemnity was negotiated. This section examines the indemnity as a mechanism through which France re-established economic control over Haiti, and shows how the resulting debt system operated as a form of financial colonialism.

Diplomatic isolation had weakened Haiti's fiscal and bargaining position before the indemnity negotiations began. Major trading nations, including France, Britain, Spain, and the United States, withheld recognition and maintained restrictions on Haitian shipping. These constraints limited Haiti's export capacity and cut the state off from the financial networks it previously accessed under colonial rule (Knight 2000; Blackburn 2006) . McKey (2016) notes that the absence of reliable export revenue reduced the state's ability to collect taxes and finance public administration, creating a fiscal environment in which external pressure carried significant weight . This weak fiscal base is a key institutional condition that made the indemnity enforceable.

In 1825, France used military force to restructure Haiti's relationship to the former colonial power. A French naval squadron arrived in Haitian waters with a decree from King Charles X demanding compensation for the loss of property during the Revolution. The decree conditioned diplomatic recognition on the payment of 150 million francs, later reduced to 90 million (Phillips 2008) . Phillips shows that the negotiation was asymmetric: France set the terms unilaterally, and Haiti had accepted to avoid conflict. The agreement was formalized in a transfer of resources from the Haitian state to former slaveholding interests in France.

The indemnity debt created immediate fiscal pressure. Henochsberg (2016) writes that servicing the debt required Haiti to borrow additional funds from

French financial institutions, initiating a cycle of external dependence . These loans carried interest rates that absorbed a large share of government revenue. The combination of indemnity payments and refinancing obligations left little fiscal space for investment in infrastructure, administrative capacity, or export-sector recovery. Henochsberg also characterizes this arrangement as a debt overhang that restricted economic development throughout the nineteenth century.

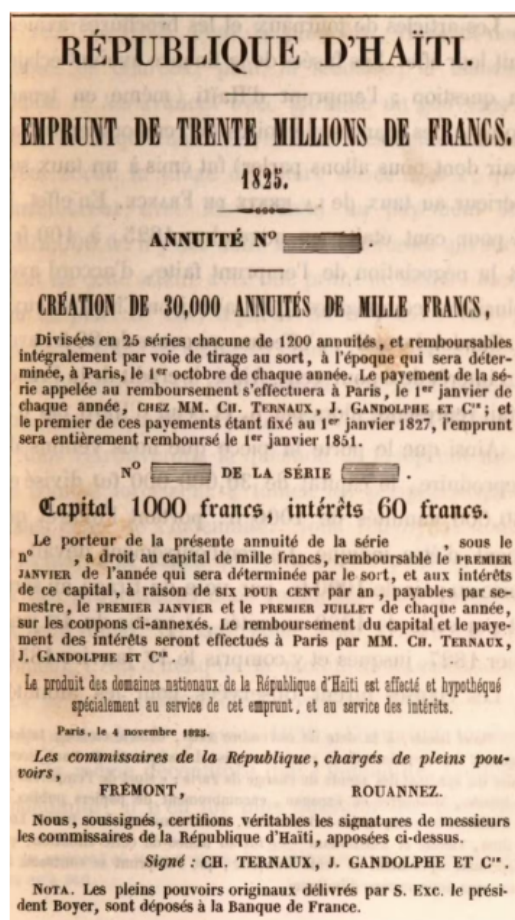


Figure 2: A facsimile of the bank note for the 30 million francs that Haiti borrowed from a French bank.

The structure of the indemnity reflected the interests of French commercial and banking groups. The debt agreement created stable revenue streams for French creditors, and repayment was tied to Haitian customs revenues, which represented the state's main source of income. This mechanism trans-

ferred control over public finances to agents outside Haiti and limited the government's ability to allocate resources according to domestic priorities. The indemnity therefore replaced territorial colonialism with a financial mechanism that reproduced core elements of colonial extraction (Henochsberg 2016; Borowetz 2023) .

The fiscal burden of the indemnity had direct effects on Haiti's productive sectors. McKey (2016) and Exel (2024) show that limited state investment contributed to the long-term decline of sugar and coffee exports, as the government lacked funds to rebuild mills, improve transportation networks, or support agricultural processing . These sectors had been central to the colonial economy, but without capital and infrastructure, they failed to recover. The indemnity therefore influenced not only the state's finances but also the structural composition of the economy.

The indemnity also altered Haiti's position in international markets. Debt service obligations reduced the country's ability to compete with emerging sugar and coffee producers, including Cuba and Brazil, which expanded their plantation sectors during the same period (Blackburn 2006) . In contrast to Haiti, these economies benefitted from access to capital, recognized trading rights, and integration into Atlantic commerce. The divergence illustrates how fiscal constraints contributed to relative decline.

All taken together, the indemnity and its refinancing arrangements functioned as a form of financial colonialism. The term captures the institutional mechanisms through which former colonial powers maintained economic influence after political independence. Borowetz (2023) argues that the indemnity institutionalized a system in which Haiti remained subordinated to external financial actors rather than domestic institutions . The indemnity fixed Haiti into a long-term fiscal dependency that shaped state capacity, export potential, and social development.

The indemnity operated within a broader strategic framework in which diplomatic recognition, credit access, and trade participation were conditional on compliance with foreign demands. This framework linked Haiti's fiscal

system to the interests of French banks and former plantation owners. The economic institutions that emerged from this process constrained Haiti's development trajectory and contributed to the persistent underperformance of the post-revolution economy.

This section demonstrates that the indemnity was not an isolated financial event. It was the central instrument through which external actors shaped Haiti's economic structure after independence. The debt created a stable transfer mechanism to France, limited Haiti's fiscal autonomy, and restricted investment in productive sectors.

4 Economic Consequences: Export Decline, Fiscal Constraints, and Long-Term Underdevelopment (1825–1900)

The combined effects of trade isolation and the indemnity shaped Haiti's economic trajectory throughout the nineteenth century. This section examines how these external constraints influenced export performance, state capacity, and long-run development outcomes. The evidence shows that Haiti's economy remained constrained by a persistent fiscal imbalance, limited investment in productive infrastructure, and the absence of institutional mechanisms necessary to sustain export growth.

Haiti entered the post-indemnity period with a fiscal system dominated by external obligations. Henochsberg (2016) documents that debt service absorbed most of the government's customs revenue, which was the principal source of state income. Because customs receipts were tied to export volumes, the government faced a loop in which weak exports reduced revenue, and low revenue reduced its ability to invest in the export sector. This dynamic reflects a classic debt-overhang mechanism: high external obligations discouraged or prevented public investment that could raise long-run output.

The export sectors most affected were sugar and coffee. These commodi-

ties had been central to the colonial economy, but both required fixed capital, transportation networks, and coordinated production structures to remain competitive in international markets. Lacerte (1978) shows that export volumes did not recover after independence, and the downward trend continued through the nineteenth century. Mills, irrigation systems, and processing facilities destroyed during the Revolution were not replaced because the state lacked the fiscal capacity to support reconstruction. McKey (2016) further notes that limited access to credit and foreign investment prevented producers from adopting capital-intensive production methods common in competing sugar economies.

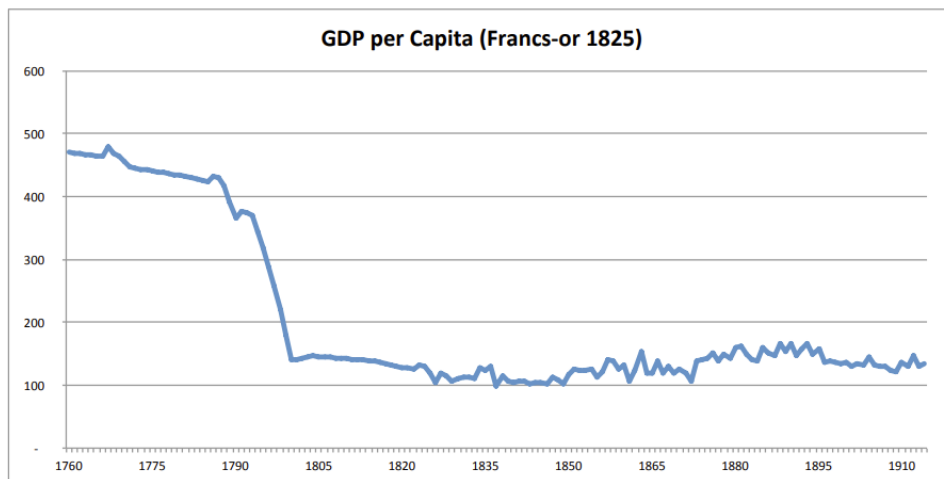


Figure 3: GDP per capita of Haiti, millions of Francs-or 1825, 1760-1915.

Coffee production declined as well, though the mechanisms differed. Coffee could be grown in smallholder systems, and Haiti’s rural population shifted toward subsistence-oriented agriculture after independence. Exel (2024) argues that the combination of fragmented landholdings and limited state presence reduced incentives to participate in export markets. Without public infrastructure and state-supported trade networks, smallholders operated outside formal export channels, further reducing fiscal revenue and weakening the institutional capacity of the state. As a result, Haiti’s export composition shifted away from high-value commodities toward low-productivity agricultural production.

These domestic constraints interacted with global market developments. While Haiti struggled to rebuild its export capacity, Cuba and Brazil expanded their sugar and coffee sectors. Blackburn (2006) notes that both economies benefitted from access to international credit and from the continuation of large-scale plantation labor systems, which supported rapid output growth . Haiti, by contrast, operated under a fragmented agricultural structure without the economies of scale achieved in neighboring economies. The divergence reflects how external constraints placed Haiti at a competitive disadvantage.

Fiscal weakness also had institutional effects. With most revenue directed toward debt repayment, the state faced chronic underfunding in administrative and public services. Henochsberg (2016) shows that this limited tax collection capacity and contributed to institutional fragility, as the government lacked resources to enforce contracts, maintain transportation networks, or regulate commerce . Weak institutions further discouraged investment, reinforcing the low-productivity equilibrium. The combination of low state capacity and limited export revenue became self-reinforcing.

The indemnity also reduced Haiti's ability to adapt to structural changes in global commodity markets. McKey (2016) emphasizes that, unlike Cuba or Brazil, Haiti lacked the capital necessary to transition to more efficient production technologies or to integrate into emerging trade routes . As global sugar markets shifted toward factory based production and centralized refining, Haiti remained dependent on obsolete processing methods. This technological stagnation contributed to declining export competitiveness.

The long term outcome was a persistent underdevelopment path. Exel (2024) describes this as a structural trap in which fiscal constraints, weak institutions, and limited trade access shaped the country's economic system throughout the nineteenth century . The indemnity formalized a pattern in which external actors extracted resources from Haiti without supporting domestic investment. At the same time, the absence of diplomatic recognition reduced Haiti's participation in the institutions that facilitated international trade and finance. These constraints reduced the returns to both private and

public investment, reinforcing the country's inability to generate sustained growth.

The decline of the export economy also had distributional effects. Coffee and sugar revenues under the colonial system had financed public administration, port operations, and commercial infrastructure. After independence, declining export revenues shifted the fiscal burden onto rural producers through indirect taxes and export duties. However, as Exel (2024) notes, the state collected limited revenue from rural households due to weak administrative capacity, leaving public institutions underfunded. The resulting institutional weakness reduced Haiti's ability to diversify economically or stabilize its fiscal position.

By 1900, Haiti's economy was characterized by low export volumes, a narrow revenue base, and limited state capacity. These outcomes were not solely the product of domestic factors. They were also shaped by the interaction of diplomatic isolation, external debt constraints, and the absence of access to credit and markets. The indemnity debt and its financing arrangements established a long term pattern of financial dependence that influenced Haiti's economic structure well into the twentieth century.

This section demonstrates that the economic consequences of isolation and debt were structural rather than cyclical. Export decline, fiscal constraints, and institutional fragility emerged as persistent features of the post-independence economy. These dynamics explain Haiti's divergence from other post-colonial states and illustrate how external mechanisms can shape long-run development outcomes.

5 Conclusion

This report examined how trade isolation and the 1825 indemnity shaped Haiti's economic development after independence. The evidence shows that external constraints formed a connected system that limited Haiti's ability to rebuild state capacity, restore export production, or participate in international markets. Diplomatic non-recognition reduced access to trade, shipping, and credit. These constraints weakened fiscal capacity at a time when investment in infrastructure and administration was necessary for recovery. As Knight (2000) and Blackburn (2006) document, isolation restricted Haiti's integration into the Atlantic economy and reduced its negotiating power during the early decades of independence.

The 1825 indemnity formalized Haiti's external dependence. France imposed a compensation agreement backed by military force, and Haiti accepted to obtain recognition and avoid renewed conflict (Phillips 2008). The debt and its refinancing arrangements created a fiscal structure in which a large share of public revenue was committed to external obligations (Henochsberg 2016). This diverted resources away from investment in agriculture, transportation, and administration, which were essential for rebuilding export production.

The combined effects of isolation and debt shaped long-term economic outcomes. Export volumes remained low, and the state lacked the capacity to coordinate or finance large-scale recovery of sugar and coffee production. As McKey (2016) and Lacerte (1978) show, the absence of investment and weak institutions contributed to declining output and limited participation in international commodity markets. Haiti's fiscal and administrative constraints also reinforced the rise of competing producers such as Cuba and Brazil, which expanded their export sectors during the same period (Blackburn 2006).

Diplomatic exclusion and the indemnity combined to limit state capacity, discourage investment, and restrict export development. These mechanisms produced long-lasting effects that extended beyond the nineteenth century.

References

- Blackburn, Robin**, “Haiti, Slavery, and the Age of the Democratic Revolution,” *The William and Mary Quarterly*, 2006, *63* (4), 643–674.
- Borowetz, Taylor**, “After Property: The Haitian Revolution, Racial Capitalism, and the Foundation for a Universal Right to Freedom from Enslavement,” *The international journal of human rights*, 2023.
- Exel, Isabel Ishibe**, “A Pearl Ravaged: The Paradox of Haiti and Its Socioeconomic Origins,” Master’s thesis, The City University of New York 2024.
- Henochsberg, Simon**, “Public Debt and Slavery: The Case of Haiti (1760–1915),” *Paris School of Economics (PSE)*, 2016.
- Kaisary, Philip**, “The Haitian Revolution and Socio-economic Rights,” *Cambridge University Press*, 2022, pp. 82–98.
- Knight, Franklin W.**, “The Haitian Revolution,” *The American Historical Review*, 2000, *105*, 103–115.
- Lacerte, Robert K.**, “The Evolution of Land and Labor in the Haitian Revolution, 1791–1820,” *The Americas*, 1978, *34* (4), 449–459.
- McKey, Colin**, “The Economic Consequences of the Haitian Revolution,” Master’s thesis, University of Oregon 2016.
- Phillips, Anthony**, “Haiti, France and the Independence Debt of 1825,” 2008. study.
- Rönnbäck, Klas**, “Governance, Value-Added and Rents in Plantation Slavery-Based Value-Chains,” *Slavery & Abolition*, 2021, *42* (1), 130–150.